

nine FAQs to guide subscribers on the process, a pension calculator for them to assess the higher monthly pension they can get, held over 3,000 meetings and has initiated the process of validating the applications it has received. An actuarial exercise is also on to assess the impact of higher pension on the EPS, which has been running at a projected deficit for years. But given the huge numbers at stake, it has not been a simple exercise.

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“THE EPFO IS trying to fast-track the implementation of the Supreme Court ruling but it can make or break the EPS corpus. We are holding multiple generations of PF members’ money and all—current and future members—are stakeholders. We need to protect the EPS to protect all their interests,” says Sougata Roy Choudhury, Executive Director of CII and a member of the EPFO’s Central Board of Trustees (CBT).

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employees, pensioners and employers have sought additional time to furnish requisite details and clarifications.

To assess the impact of higher pension on EPS, an actuary has been appointed specifically for the purpose of evaluating the impact, it had said, adding that this can be done once all applications have been processed. Interim actuarial evaluations will continue for every 50,000 demand letters issued. Further, as much as 52% of the higher wage cases pertain to exempted establishments or privately managed PF trusts, which pay only a nominal fee to the EPFO, and it had called for increasing the charges.

It had also highlighted the huge burden on its workforce noting that a large proportion of applicants permitted to opt for higher pension are in service and the EPFO’s work on this will have to continue. “Therefore, there is need for separate staff for pension work in the head office as well as those in the field,” it had said, adding there was a need to set up an in-house actuarial team.

The EPFO did not respond to an emailed questionnaire from *Business Today* on the issues.

Harbhajan Singh Sidhu, General Secretary of trade union Hind Mazdoor Sabha and a member of the CBT, notes that there is slow progress in scrutinising the applications as the EPFO does not have adequate infrastructure. “Officers are overburdened, and the existing

EPFO HAD RECEIVED 1.75 MILLION APPLICATIONS FOR HIGHER PENSION, 1.17 MILLION OF WHICH WERE STILL BEING VALIDATED

the impact of the higher pension payout. According to the actuarial valuation for FY18 and FY19, the EPS had a deficit of ₹37,326.94 crore, up from a deficit of ₹15,531.91 crore in the combined actuarial valuation for FY16 and FY17, respectively. While the EPS has not had any cash flow problems till date because it has had more receipts than outgo since inception, there is a projected deficit due to declining contributions by members, and the increasing number of pensioners under the scheme.

CBT, the apex decision-making body of the EPFO that is chaired by the Union Labour & Employment Minister Bhupender Yadav, has been regularly reviewing the implementation of the ruling.

In a status report, the EPFO had underlined that it has been its “constant endeavour” to process the applications expeditiously, while ensuring consistency and accuracy, and providing ample opportunity to members and pensioners. It also highlighted that there were various dimensions to this task, including the fact that many

staff does not have the time to scrutinise so many applications. A separate division is required for this,” he says, adding that the EPFO had about 9,000 vacancies, or about 40% of the sanctioned positions, of which about 4,000 have been filled up recently.

Meanwhile, there also continues to be a long-pending demand to review the minimum monthly pension of ₹1,000, which was fixed in 2014, with pensioners and trade unions calling for at least doubling it. However, since the centre has to pay a subsidy for this pension, it has not been in favour of such a move.

For now, it seems unlikely that these problems will be addressed at one go and stakeholders note that any conclusive move will take place only after the General Elections. But resolving the issue while ensuring the stability of the scheme could go a long way in the objective of providing social security to its workers. **BT**

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